S&P Capital IQ PRO

Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Additional Disclosure

Year: Methodology Year: 2020
Question: Anti-Bribery & Anti-Corruption Policy
Include Modeled Scores : Yes

Anti-Bribery & Anti-Corruption Policy

Question

Does the company have a group-wide policy on anti-bribery and anti-corruption and is it available publicly?

Rationale

Corruption and bribery are economic crimes that are consistently harmful to a company's intangible assets (such as its reputation, staff morale, or business relationships). Companies doing business in countries with weak anti-corruption and bribery laws are exposed to additional reputational and legal risks.
Evidence of corrupt practices can result in a company's exclusion from contracts financed by institutions that blacklist bribe suppliers (for example, the World Bank's list of debarred firms), potentially affecting the company's future earnings. Due to the additional types of risk that corruption introduces, it creates uncertain consequences for investors, and therefore increases the risk premium a company must pay for debt or equity. This question assesses the anti-corruption and bribery policy a company has in place to complement legal requirements (or to compensate for the lack of such requirements in certain countries). Because political and charitable contributions can be used as subterfuge for bribery, they should be explicitly covered by the anti-corruption policy and should be publicly disclosed.

Performance Summary	
Question Level Company Performance	80
Question Weight	21
Year-on-Year Change	40
Industry Average Score	28
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

▼ Additional Question Guidance & Information Display

Key Definitions

Kickback: A kickback refers to a share of misappropriated funds one organization pays another in a case of corrupt bidding. This can occur in a business context or in any other situation in which people are entrusted to spend funds that do not belong to them. In this context, a company would win a contract in a public bidding process even if its provided quote exceeds the market price or best offer. For the benefit of winning the contract, the provider of the service then pays a kickback (for example, the difference between the overvalued and the actual market price, or part of this difference) to the buyer.

Soft dollar: The term soft dollar is used in the finance industry and refers to in-kind payments made by a money manager (a fund, investor, etc.) to its service providers. Instead of paying the service providers with cash (i.e. hard dollars), the investor pays in-kind (i.e. with soft dollars) by passing on business to its service providers.

Political contributions and charitable donations: This question specifically considers contributions and donations that act as a means of bribery and corruption, and this needs to be explicitly addressed in the attached policies. In the context of this question, disclosure on details of contributions and donations is only considered for topics that are specifically covered in the relevant policy. Other aspects related to political contributions and charitable donations that are not linked to bribery or corruption are addressed in other parts of the questionnaire.

Data Requirements

This question requires supporting evidence from the public domain. The information provided has to be included in your public reporting (e.g. annual report, sustainability report, integrated report, company publications..) or corporate website.

Please ensure that the marked options are both covered by your company's policy and are **clearly disclosed** in the attached documents.

References

- **GRI Standard 102-16** is relevant for this question.
- **OECD Convention on Combating Bribery of Foreign Public Officials in International Business Transactions, 1997**
- **United Nations Convention Against Corruption, 2003**
- **Business Principles for Countering Bribery, 2009 (by Transparency International, second edition)**

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
The group-wide anti-corruption and bribery policy is publicly available	Applicable
Corruption & bribery policy includes bribes in any form on any portion of contract payments or soft dollar practices	YES
Corruption & bribery policy includes direct or indirect political contributions	YES
Political contributions publicly disclosed	-
Corruption & bribery policy includes charitable contributions and sponsorship	YES
Charitable contributions and sponsorship publicly disclosed	YES

Questionnaire

Which of the following aspects are covered by your anti-corruption and bribery policy at a group level (including subsidiaries)? Please indicate where this information is available in your **public reporting** or **corporate website.** Please also ensure that the marked options are both covered by your company's policy and are clearly disclosed in the attached public documents.

1. ●
   Yes, our group-wide anti-corruption and bribery policy is publicly available and specifically includes the following:
   1. ☑
      Bribes in any form (including kickbacks) on any portion of contract payments or soft dollar practices
   2. ☑
      Direct or indirect political contributions
      1. ☐
         Political contributions publicly disclosed. Please indicate web address:
   3. ☑
      Charitable contributions and sponsorship
      1. ☑
         Charitable contributions and sponsorship publicly disclosed. Please indicate web address:
2. ○
   No anti-corruption & bribery policy
3. ○
   Not applicable. Please provide explanations in the comment box below.
4. ○
   Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.